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Date: January 20, 2025

Client: SILQ Technologies Corporation

Reference: SOW SIL 2025-01

Internal Audit Report: SIL-IAR-2025-01 (**SILQ Audit #24-01**)

Assessment Date(s): January 16th and 17th 2025

Background Information

SILQ Technologies was spun out of the University of California, Los Angeles with the vision to commercialize technology originally conceived in the Department of Chemistry and Biochemistry. The technology is a coating formulation that permanently transforms the surfaces of plastics and elastomers to confer highly desirable properties such as hydrophilicity, enhanced lubricity and resistance to biofilm formation. The developers of the formulation, Professor Richard Kaner and Dr. Brian McVerry, are co-founders of the company and are members of its Board, with Dr. McVerry also serving as Chief Technology Officer. Early research at UCLA was funded by grants from the National Science Foundation and UCLA's Physical Sciences Entrepreneurship and Innovation Fund. Subsequently, Dr. Jack Kavanaugh, a successful LA-based medical devices and biosciences entrepreneur, joined the effort and raised the capital needed for the company to further its business objectives. SILQ secured FDA clearance to market indwelling Foley catheters coated with its formulation in April 2020 and is currently pursuing additional opportunities for its proprietary chemistry in the medical, industrial and retail sectors.

Scope

The scope of the assessment encompassed the internal audit of the SILQ Technologies Corporation (STC) Quality Management System (QMS) in accordance with requirements delineated within: (a) ISO 13485:2016; and (b) 21 CFR, Parts 803, 806; & Part 820. Table 1.0 of this report contains a matrix mapping ISO 13485:2016 to 21 CFR, Par 820 requirements (*basic QMS elements*).

Table 1.0 – Quality, Regulatory, and Statutory Requirements

QUALITY SYSTEM ELEMENTS	ISO 13485	21 CFR 820
Quality Management System	**4**	
General Requirements	**4.1**	820.5
Documentation Requirements	**4.2**	820.40
General Requirements	4.2.1	820.40
Quality Manual	4.2.2	N/A
Medical Device File	4.2.3	820.30(j)
Document Controls	4.2.4	820.40
Control of Records	4.2.5	820.180 through.186
Management Responsibility	**5**	
Management Commitment	**5.1**	820.20
Customer Focus	**5.2**	N/A
Quality Policy	**5.3**	820.20(a)
Planning	**5.4**	820.20
Quality Objectives	5.4.1	820.20(a)
QMS Planning	5.4.2	820.20(d)
Responsibility, Authority, & Communication	**5.5**	820.20
Responsibility & Authority	5.5.1	820.20(a)
Management Representative	5.5.2	820.20(d)
Internal Communication	5.5.3	820.198
Management Review	**5.6**	820.20
General	5.6.1	820.20
Review Input	5.6.2	820.20
Review Output	5.6.3	820.20
Resource Management	**6**	
Provision of Resources	**6.1**	820.20(b)(1-2)
Human Resources	**6.2**	820.25
General	6.2.1	820.25
Competence, Awareness, & Training	6.2.2	820.25
Infrastructure	**6.3**	820.20(c)
Work Environment	**6.4**	820.70
Work Environment	6.4.1	820.70
Contamination Control	6.4.2	820.70
Product Realization	**7**	
Planning of Product Realization	**7.1**	820.20

QUALITY SYSTEM ELEMENTS	ISO 13485	21 CFR 820
Customer-Related Processes	**7.2**	N/A
Determination of Requirements Related to Products	7.2.1	820.70
Review of Requirements Related to Products	7.2.2	820.70
Customer Communication	7.2.3	820.160; 170; 198; 200
Design and Development	**7.3**	820.30
General Requirements	7.3.1	
Design & Development Planning	7.3.2	820.5; .30(b)
Design & Development Inputs	7.3.3	820.30(c)
Design & Development Outputs	7.3.4	820.30(d)
Design & Development Review	7.3.5	820.30 (e)
Design & Development Verification	7.3.6	820.30 (f)
Design & Development Validation	7.3.7	820.30 (g)
Design & Development Transfer	7.3.8	820.30
Control of Design & Development Changes	7.3.9	820.30 (g)(i)
Design & Development Files	7.3.10	820.30(j)
Purchasing	**7.4**	820.50
Purchasing Process	7.4.1	820.50(b)
Purchasing Information	7.4.2	820.50
Verification of Purchased Product	7.4.3	820.80
Production and Service Provision	**7.5**	820.70
Control of Production & Service Provision	7.5.1	820.70
Cleanliness of Products	7.5.2	820.70
Installation Activities	7.5.3	820.170
Servicing Activities	7.5.4	820.200
Particular Requirements for Sterile Medical Devices	7.5.5	820.70
Validation of Processes for Production and Service Provision	7.5.6	820.75
Particular Requirements for Validation of Processes for Sterilization and Sterile Barrier Systems	7.5.7	820.75
Identification	7.5.8	820.60
Traceability	7.5.9	820.65
Customer Property	7.5.10	N/A
Preservation of Product	7.5.11	820.120, .130, .140, & .150
Control of Monitoring and Measuring Devices	**7.6**	820.72
Measurement, Analysis, and Improvement	**8**	
Measurement, Analysis & Improvement – General	**8.1**	820.250
Monitoring & Measurement	**8.2**	820.70 & .75
Feedback	8.2.1	820.198
Complaint Handling	8.2.2	820.198
Reporting to Regulatory Authorities	8.2.3	820.198
Internal Audit	8.2.4	820.22
Monitoring & Measuring of Processes	8.2.5	820.70 & .75
Monitoring & Measuring of Products	8.2.6	820.70 & .75
Control of Non-Conforming Material	**8.3**	820.90
General	8.3.1	820.90

QUALITY SYSTEM ELEMENTS	ISO 13485	21 CFR 820
Actions in Response to Nonconforming Product Detected Before Delivery	8.3.2	820.90
Actions in Response to Nonconforming Product Detected After Delivery	8.3.3	820.90
Rework	8.3.4	820.90
Analysis of Data	**8.4**	820 .80; .86; .250
Improvement	**8.5**	820.100
Improvement – General	8.5.1	820.100
Corrective Action	8.5.2	820.100
Preventive Action	8.5.3	820.100

Primary Audit Participants:

Dr. Christopher J. Devine – President, DGII

Bryan Wong – Director of Quality, STC

Quality Management System – Clause 4

As scripted, the Quality Management System (QMS) implemented by SILQ complies with ISO 13485:2016 and 21 CFR, Part 820 requirements. Processes employed by SILQ, in support of quality and product realization activities have been implemented, where applicable. SILQ has implemented a current organizational chart; QM.SLQ034.E – Organization Chart. Two documents have been implemented in support of risk management activities: (a) QM.SLQ012.B – Risk Management; and (b) QM.SLQ013.B – Risk Analysis.

Quality processes needed to ensure the QMS is fully-functional have been implemented. The following processes are outsourced:

- Contract Manufacturing;
- Calibration;
- Sterilization;
- Inventory Management;
- Distribution.

File Hold Software, implemented in support of the QMS, has been validated. The SILQ Quality Policy has been documented within QM.SLQ035.C – Quality Policy.

> *"Excellent patient care is the focus of all SILQ activities. We endeavor to meet or exceed our customers' satisfaction and expectations in providing safe and effective coated medical devices of the highest quality and that meets all applicable regulatory requirements."*
>
> *"Each SILQ employee is personally committed to achieving this goal and continually improving our ability to maintain customer focus by operating a highly effective quality system that meets the requirements of applicable global standards and regulatory requirements for medical devices".*

As previously noted, SILQ has implemented policies and procedures required by ISO 13485:2016 and 21 CFR, Part 820. Quality planning activities are performed in accordance with QM.SLQ025.A – Quality Planning.

A quality manual has been implemented by SILQ; QM.SLQ027.D – Quality Manual. In accordance with 2.2 of QM.SLQ027.D; the following ISO 13485:2016 clauses have been identified as Not Applicable:

- Clause 7.5.3 – Installation Activities;
- Clause 7.5.4 – Servicing activities;
- Clause 7.5.9.2 – Particular Requirements for Implantable Medical Devices; and
- Clause 7.5.10 – Customer Property.

In accordance with 4.2.5 of QM.SLQ027.D; the Device Master Record (DMR) is considered synonymous with the Medical Device File (MDF). In support of this assessment, the following DMR(s) were reviewed (Pathway Medtech, LLC):

- SLQ-211410SPT – SILQ 2-Way Cleartract SPT (14FR);
- SLQ-211605SPT – SILQ 2-Way Cleartract SPT (16FR); and
- SLQ-211810SPT – SILQ 2-Way Cleartract SPT (18FR).

Two procedures have been implemented in support of document control activities:

- QM.SLQ001.A – Document Control; and
- QM SLQ014.B – Electronic Document System Work Instruction.

In support of this assessment, the following DCOs were reviewed and found to be acceptable:

- DCO072 (SOP);

- DCO073 (SOP);
- DCO074 (SOP);
- DCO075 (SOP);
- DCO076 (Specification);
- DCO077 (WIs);
- DCO078 (Test Protocol);
- DCO079 (SOP);
- DCO080 (Test Protocol);
- DCO081 (Test Protocol); and
- DCO082 (Specification).

Note: For 2024, there were eleven (11) DCOs processed.

The following types of records were reviewed in support of this assessment:

- FDA Establishment Registration;
- Quality Manual;
- Quality Policy;
- Organizational Chart;
- Quality Objectives;
- SOPs;
- Work Instructions;
- DCOs;
- DMRs;
- Training;
- Job Descriptions;
- Management Review;
- DHF;
- DHRs;
- Risk Management;
- Supplier Certificates;
- Supplier Questionnaires;
- Supplier Audit;

- Calibration;
- Complaints; and
- NCRs.

Good Documentation Practice (GDP) is being managed in accordance with QM.SLQ002.B – Good Documentation Practices. In accordance with 19.1 of QM.SLQ001.A; records are retained electronically through the use of File Hold Software. In accordance with 19.6 of QM.SLQ001.A; the record retention period is 5-years.

Management Responsibility – Clause 5

The importance of meeting customer requirements is communicated by the CCO, in accordance with 5.2 of QM.SLQ036.E – Sales Order SOP. In accordance with QM.SLQ037.A – Quality Objectives, objectives for 2024/25 are stated as:

- Operations / Incoming quality / Quality Assurance management /
  The lot acceptance rate of incoming material used in finished product shall be greater than 80%; and
- Operations / Finished product quality / Chief Technology Officer /
  The complaint rate of failed catheters shall be less than 5% of the overall distributed catheters.

Management reviews are managed in accordance with QM.SLQ018.A – Management Review. In accordance with 6.1.1 of QM.SLQ018.A; Management Review is to be held annually, at a minimum.

The importance of meeting customer requirements is communicated by the CCO, in accordance with 5.2 of QM.SLQ036.E – Sales Order SOP. The SILQ Quality Policy has been documented within QM.SLQ035.C – Quality Policy. As scripted, SILQ quality policy is appropriate for the organization and meets the intent of 21 CFR, Part 820 and ISO 13485:2016 requirements.

QMS planning is managed in accordance with QM.SLQ025.A – Quality Planning. In accordance with 7.5.1 of QM.SLQ027.D; responsibility and authority are delineated through the use of the SILQ Organizational Chart (QM.SLQ037). In accordance with QM.SLQ034.E – Organization Chart; Tavi Cruz-Uribe (VP of QA) is the designated management representative.

In accordance with 7.5.3 of QM.SLQ027.D; "*SILQ ensures effective communication between its various levels and functions regarding the processes of the quality management system and their effectiveness, suitability, and adequacy through periodic company meetings and Management Reviews. It is also the responsibility of each Manager or department head to ensure all relevant information is passed on to their functions*."

Management reviews are managed in accordance with QM.SLQ018.A – Management Review. In accordance with 6.1.1 of QM.SLQ018.A; Management Review is to be held annually, at a minimum. The last management review was held on 02 February 2024 for FY 2023. Management Review Input is managed in accordance with 6.3 of Q.SLQ018.A. Management Review Output is managed in accordance with QM.SLQ018.A.

Resource Management – Clause 6

SILQ has implemented an effective quality organization (three team members) in support of the establishment's quality. SILQ has retained a qualified VP of Regulatory and Clinical Affairs to support Regulatory Affairs. In accordance with 8.2 of QM.SLQ027.D;

- "Senior Management strives to ensure personnel performing work affecting product quality are competent on the basis of appropriate education, training, skills, and experience."

- "Personnel performing work affecting product quality are selected based on required competencies, appropriate education, training (internal and/or external), skills, and experience."

- "Management identifies training needs and provides training for all personnel performing tasks affecting quality as required. Training and effectiveness of training is conducted in accordance with established procedures by qualified individuals. Appropriate records of education, experience, training, and skills are maintained."

In accordance with 8.2 of QM.SLQ027.D; "*personnel performing work affecting product quality are selected based on required competencies, appropriate education, training (internal and/or external), skills, and experience*." Employee training is managed in accordance with QM.SLQ003.B – Employee Training.

In accordance with 6.1 of QM.SLQ003.B; "*all SILQ personnel and contractors / consultants are to be determined competent to perform their job based on appropriate education, experience, skills and training. Management and at least one other departmental representative conduct candidate interviews and complete reference checks as applicable. Documentation of the employee's and contractor's / consultant's qualifications (e.g., resume) is filed in the respective employee file*." Training records are managed in accordance with Section 10 of QM.SLQ003.B. In support of this assessment, the following training records were reviewed:

- C. Spiridon – QM.SLQ027.D;
- C. Spiridon – QM-SLQ015.C;
- C. Spiridon – QMSLQ037.A;
- E. Rao – QM.SLQ027.D;
- E. Rao – QM-SLQ015.C;
- E. Rao – QMSLQ037.A;
- C. Turner – QM.SLQ027.D;
- C. Turner – QM-SLQ015.C;
- C. Turner – QMSLQ037.A;
- T. Downey – QM.SLQ027.D;
- T. Downey – QM-SLQ015.C; and
- T. Downey – QMSLQ037.A.

The following job descriptions were reviewed in support of this assessment:

- Administrative Director – C. Spiridon;
- Director/Manager R & D – E. Rao;
- Director/Manager Manufacturing – C. Turner; and
- Chief Financial officer – T. Downey.

Note: This assessment was remote; therefore, the facility and equipment were not assessed during this audit. Note: the primary facility is essentially office space.

Manufacturing occurs at a critical subcontractor facility. The manufacturing environment is required to be in a Clean Room (ISO 14644, Class 7). *Note: The gowning room is also managed as a Class 7*. In accordance with 8.5 of QM.SLQ027.D; "*CMOs that provide product or services are selected based on their ability to fulfill applicable requirements for work* *environment and contamination control*." *Note: SILQ does not handle contaminated product. Note: SILQ does not maintain a Controlled Environment Room (CER).*

Product Realization – Clause 7

Process requirements for successful product realization are delineated within the DMR. Product realization activities are performed by Pathway Medical. Pathway's QMS is aligned with the requirements delineated within ISO 13485:2016 and 21 CFR, Part 820. Objectives and requirements are defined within the DMR. Processes needed for successful product realization are defined within the DMR and executed by Pathway. Requirements for verification, validation, monitoring, inspection, and test activities, necessary to facilitate product realization, are developed in conjunction with Pathway. A Device History Record (DHR) is compiled for each lot manufactured by Pathway. The output of product realization is a finished SILQ device that is safe and effective in its intended use.

Requirements for SILQ devices are determined during the design and development. Customer orders and contracts are reviewed in accordance with 6.3 of QM.SLQ036.E – Sales Order. In accordance with 6.1.4 of QM.SLQ036.E; "*if there are any requirements not stated by the customer but necessary for specified or intended use, a SILQ associate will confirm these requirements with the customer before accepting the order*." In accordance with 6.3.1.3 of QM.SLQ036.E; when changes are noted in customer orders differing from previously accepted orders, these changes are required to be resolved prior to order acceptance. Product requirements/order acceptance is managed through the use of sales-order forms. Requirements reviewed as part of the sales order review process are delineated within 6.1.2 of QM.SLQ036.E. Changes made to product(s) are managed as part of the design and development change process. In accordance with 6.1.1 of QMSLQ036.E; "*if the customer requests a product that is a SILQ current part number, a Sales/Customer Service associate (or designee) receives the customer's order from phone, fax, or other means and initiates the sales order*."

The following SOPs have been implemented in support of design and development activities:

- QM.SLQ004.A – Design Control Program;
- QM.SLQ005.B – Design Project Planning;
- QM.SLQ006.A – Design Input;

- QM.SLQ007.A – Design Output;
- QM.SLQ008.A – Design Review;
- QM.SLQ009.A – Design Verification & Validation;
- QM.SLQ010.A – Design Transfer;
- QM.SLQ011.A – Statistical techniques – Work Instruction; and
- QM.SLQ012.B – Risk Management.

SILQ has implemented QM.SLQ005.B – Design Project Planning, in support of design and development activities. *Note: SILQ has one Class 2 device cleared by FDA (reference K192034).* Project managers are tasked with communicating roles, responsibilities, and project requirements to the project team, as defined within 5.3 of QM.SLQ005.B – Design Project Planning. Requirements for design inputs are delineated in QM.SLQ006.A – Design Input. Design inputs are recorded in the DHF and incorporated into product specification(s). In support of this audit, PS-0006. Rev G – Product Specification / Traceability Matrix – SILQ Foley Products (Pathway) was reviewed. Design and development inputs are reviewed during the design review process. In accordance with 1.2 of QM.SLQ006.A; requirements for the resolution of incomplete, ambiguous, or conflicting product requirements are defined.

Design outputs are managed in accordance with QM.SLQ007.A – Design Output. Design outputs are identified during design phase reviews. Purchasing will utilize design outputs in support of identifying potential requirements and suppliers needed for successful product realization. Acceptance criteria are documented in the product specification and in inspection documentation. Product characteristics needed for the safe and effective use of SILQ devices are placed into the Instructions for Use (IFU). Records of design and development activities are retained in the Design History File (DHF).

Design Reviews are being pursued in accordance with QM.SLQ008.A – Design Review. In accordance with 6.6 and 6.7 of QM.SLQ008.A;

- "*At a minimum, a representative from Quality Assurance, R&D/Engineering, and Manufacturing must attend the design review. When appropriate, additional representatives from other departments or other subject matter experts are to attend if requested or deemed necessary.*"

- "An independent reviewer, not directly associated with the design stage being reviewed, is to attend all design reviews. The independent reviewer is to be identified by Quality Assurance management."

In support of this assessment, the following phase review documentation was reviewed (Project 00053):

- TR-SLQ12, Rev A – Test report, Biocompatibility, SLQ Clear Tract Catheter (genotoxicity & Bacterial Endotoxin Testing / ISO 10993-3);
- Design Transfer – Commercial Release Review 05-26-23;
- Project 00053, Change Assessment (05-13-23);
- SILQ-4007, Rev A – IFU 2-Way 100% Silicone Clear Tract SPT Catheter;
- SLQ-LB-4008, Rev A Label Pouch SILQ Clear Tract SPT Catheter;
- RM-0021, Rev F – PFMEA SILQ Clear Tract Foley Catheter;
- PS-0006. Rev G – Product Specification / Traceability Matrix – SILQ Foley Products (Pathway) was reviewed;
- RM-0019, Rev D - Hazard Analysis (HA) – Risk Management Report, SILQ Clear Tract Foley Catheter;
- RM-0018, Rev D - Risk Management Plan – SILQ Foley Catheter

Design Verification (DV) activities are pursued in accordance with QM.SLQ009.A – Design Verification & Validation. DV records (protocols & reports) are reviewed and approved by SILQ and executed by Pathway. Design Validation (DVAL) activities are performed in accordance with QM.SLQ009.A – Design Verification & Validation. In accordance with 7.2 of QM.SLQ009.A; "*Design validation activities are intended to provide objective evidence that the final product, when manufactured according to the Device Master Record, conforms to established user needs and intended use. Design validation testing must be performed on pre-production or production units, lots, batches or their equivalent. If design validation testing is not performed on initial production, the equivalence to initial production must be documented*." DVAL records (protocols & reports) are reviewed and approved by SILQ and executed by Pathway. In accordance with 7.9 of QM.SLQ009. A;

- *"When testing is completed, a final report is written to include the data analysis, results, conclusions and any deviations. Attach all original data sheets and any attachments required to support the test data and conclusions reached in the final report."*

- *"The completed final report is reviewed and a decision is made as to whether unit under test met the acceptance criteria."*

Design transfer activities are performed in accordance with QM.SLQ010.A – Design Transfer. Design changes are performed in accordance with section 16.1 through 16.4 of QM.SLQ004.A. Pathway is managing design control activities. SILQ retains access to the DHFs. In accordance with 16.2 of QM .SLQ004.A; "*in cases where major changes to a product line are made, an updated or supplemental Design Project Scope Form (FM1-QM.SLQ004) is to be completed to determine the extent of design control activities required."* In accordance with 16.4 of QM.SLQ004.A; "*design changes are to be handled through the document change order process as described in the QM.SLQ001, Document Control SOP.*" The DHFs are managed in accordance with 15.1 through 15.3 of QM.SLQ004.A.

Purchasing activities are managed in accordance with QM.SLQ020.D – Purchasing Controls. Receiving inspection activities are pursued in accordance with 9.2 of QM.SLQ020.D. In accordance with 7.7 of QM.SLQ020.D; "products and services are only to be purchased from suppliers, contractors and consultants listed on the Approved Supplier List (ASL) and only for those product and service types for which they have been qualified (as specified on the ASL)." SILQ suppliers are evaluated and selected in accordance with QM.SLQ015.B – Supplier Quality Assurance. In accordance with 7.1 through 7.5 of QM.SLQ015.B; suppliers are placed into one of five categories promised on risk.

In support of this assessment the following suppliers were reviewed:

- Pathway, LLC (Cat 1): ISO 13485:2016 (08-15-25);
- Richman Chemical (Cat 1): ISO 9001:2015 (04-01-27);
- Steripax (Cat 1): ISO 9001:2015 (11-12-25);
- Micro Precision (Cat III): ISO/IEC 17025:2017 (10-31-26); and
- Repligen (Cat III): ISO 9001:2015 (01-23-26).

In support of this assessment, the following purchasing/supplier quality records were reviewed:

- ASL (FM-6 QMS.SLQ015.B – Approved Suppliers List);
- Supplier Audit Report (Pathway 11/28 & 11/28 23);
- ISO Certificates;
- Supplier Questionnaires; and

- Quality Agreements.

In accordance with 7.1 of QM.SLQ020.B; purchase orders are used, reference: "*purchase Orders (P.O.) constitute a contract between SILQ and a supplier, contractor or consultant and may be issued only by authorized purchasing personnel, with department specific approvals as described in this procedure*." Special supplier requirements, including supplier qualifications, will be delineated through the use of purchase orders, contracts, drawings, and relevant attachments. When required, receiving inspection is performed in accordance with QM.SLQ039.B – Receiving Inspection. *Note: SILQ retains the right of access for their supplier base; however, SILQ does not typically perform source inspection.*

Pathway is tasked with the application of appropriate tooling to ensure the success of product realization. In accordance with 7.6 of QM.SLQ019.C – Identification and Traceability; "batch or lot numbers that have been assigned by the manufacturer (supplier) are acceptable to maintain and reference in the DHR, without having to assign a new identifying number." In support of this assessment, the following DHR was reviewed; SLQ-810205125241 (expires 0-5-15-27). Pathway is tasked with performing product realization activities in accordance with the SILQ DMRs. SILQ products are assembled in a Class 7 Cleanroom by Pathway. SILQ finished devices are cleaned prior to shipment to sterilization through the use of EO. *Note: Clause 7.5.3 has been declared as "N/A" in the quality manual (QM.SLQ027.D). Note: Clause 7.5.4 has been declared as "N/A" in the quality manual (QM.SLQ027.D).*

Sterilization of SILQ product is performed using EO. Sterilization records are managed through the use of a batch number. Sterilization records are managed through the use of a batch number. The sterile load records are retained in the DHR.

Process Validation (PV) activities are performed (performed by Pathway) in accordance with QM.SLQ047.A – Process Validation. There have been zero PVs performed since the previous internal Audit. Processes employed in support of product realization are required to be validated or verified through inspection and/or test. Personnel and equipment qualification information will be retained in the PV Reports. Note: PV reports require the approval of SILQ. Process changes are assessed for the need to repeat a partial or complete PV test. Software validation is pursued in accordance with QM.SLQ032.A – Software Validation.

The current sterilization process has been validated; TR-0075, Rev B – Sterilization Product Adoption, HDX 2-Way Foley Catheter. *Note: there have been zero need(s) to update the* *adoption report in 2024. No significant material changes have been made to SILQ finished devices.*

In accordance with 7.6 of QM.SLQ019.C – Identification and Traceability; "*batch or lot numbers that have been assigned by the manufacturer (supplier) are acceptable to maintain and reference in the DHR, without having to assign a new identifying number*." Identification and traceability are managed in accordance with QM.SLQ019.C – Identification and Traceability. SILQ medical devices can be returned to SILQ or Pathway for failure investigations. SILQ devices are returned to Pathway. Pathway will perform device decontamination and failure investigation. Upon completion of the investigation, Pathway will provide a copy of the failure reports. Identification and traceability are managed in accordance with QM.SLQ019.C – Identification and Traceability. Finished device traceability is managed in accordance with 10.1 and 10.2 of QM.SLC019.C. Pathway is tasked with the assignment of batch numbers. Records of materials procured for medical device manufacturing are managed in accordance with 7.1 of QM.SLQ019.C.

There are two flows for the distribution of finished devices into commercialization: (a) Pathway; and (b) Health Products for You - Consignment. A distribution log is maintained in support of tracking product distribution. *Note Clause 7.5.10 has been declared as "N/A" in the quality manual (QM.SLQ027.D).*

Handling, Storage, Packaging, Preservation and Delivery are managed in accordance with 12.6 of QM.SLQ027.D. Specific processes employed in support of product realization and instructions for the preservation of product are the responsibility of Pathway. Material requiring shelf-life or other special handling and storage requirement are managed by Pathway.

Monitoring and measuring devices, needed to support product realization, are selected and managed by Pathway. Calibration of monitoring and measuring devices is managed in accordance with QM.SLQ050.A – Calibration and Preventive Maintenance. In accordance with 11.3 of QM.SLQ050.A; NIST traceability is a requirement. The adjusting and re-adjusting of monitoring and measuring devices will be managed by Pathway as part of their calibration system. In accordance with 11.1 of QM.SLQ050.A; measuring and monitoring equipment shall be identified with a calibration label. "*Calibration labels will include: calibration date, initials of person who performed the calibration, and calibration due date*." Only SILQ personnel that have been trained to use monitoring and measuring devices shall be permitted to operate said devices. In support of preventing damage, the handling of monitoring and measuring devices is managed in accordance with 12.1 of QM.SLQ050.A. The validity of calibration results will be verified in accordance with 11.9.1 of QM.SLQ050.A. Monitoring and measuring devices found to be out-of-tolerance, non-conforming and/or other operational discrepancies will be managed in accordance with 11.9 of QM.SLQ050.A. In support of this assessment, the following calibration records were reviewed:

- ST-005 Repligen Diafiltration System: Due 11-01-26;
- ST-006 Optima Floor Scale: Due 12-11-25;
- ST-011 Johnson Controls Fume Hood: Due 12-12-25;
- ST-007 Global Scale: Due 12-11-25;
- ST-015 VIS Photometric Accuracy Calibration Standard: Due 10-30-25; and
- ST-017 Temp/Humidity Monitor: Due: 09-25-26.

Note: SILQ does not employ software in support of the metrology function. Micro Precision (California) is the primary provider of metrology support. Micro Precision is an ISO/IEC 17025:2017 accredited facility.

Measurement, Analysis, and Improvement – Clause 8

In accordance with 13.7 of QM.SLQ027.D; the following metrics are being compiled and reviewed as part of management review, for example:

- Customer feedback;
- Conformity to product requirements;
- Characteristics and trends of processes and products;
- Internal audit results;
- Supplier quality performance; and
- CAPA.

SILQ compiles and analyzes metrics from multiple areas. The data collected is used to drive continuous improvement. Tools used in support of measurement, analysis, and improvement are: (a) complaints; (b) audits (internal & critical subcontractor); (c) management review; and (d) CAPA. The application of statistical methods is managed in accordance with QM.SLQ011.A – Statistical Techniques Work Instruction.

Table 1.0 of QM.SLQ033.A – Post-Market Surveillance; delineates post-market data collected, in support of post-market surveillance. Feedback activities are managed in accordance with 6.3 of QM.SLQ033.A – Post-Market Surveillance. Post-market surveillance activities are pursued in accordance with QM.SLQ033.A.

Complaints received by SILQ are managed in accordance with QM.SLQ021.D – Product Complaint System. As scripted, QM.SLQ021, Rev D meets the requirements delineated within 21 CFR, Part 820.198 and ISO 13485:2016, Clause 8.2.2. Advisory notices are managed in accordance with QM.SLQ030.A – Advisory Notices and Recalls. In support of this assessment, the following compliant files were reviewed:

- PCF 2024001: Opened 03-13-24 / Closed 05-02-24;
- PCF 2024002: Opened 04-07-24 / Closed 02-22-24;
- PCF 2024003: Opened 06-10-24 / Pending Closure; and
- PCF 2024004: Opened 12-17-24 / Closed 01-16-25.

Note: There were four complaints in 2024. Information gleaned during a complaint investigations will be shared with reporting parties, as appropriate. Currently, SILQ is investigating all complaints received impacting SILQ finished devices. *Note: SILQ has never issued an advisory notice*

Four (4) procedures scripted for reporting to regulatory authorities include:

- QM.SLQ022.A – Medical Device Reporting;
- QM.SLQ023.A – eMDR Submission Work Instruction;
- QM.SLQ030.A – Advisory Notices and Recalls; and
- QM.SLQ033.A – Post-Market Surveillance.

US FDA centric procedures for reporting adverse events include: (a) QM.SLQ022.A – Medical Device Reporting; and (b) QM.SLQ023.A – eMDR Submission Work Instruction.

The Internal Audit Program is managed in accordance with QM.SLQ017.A – Internal Audits. The Internal Audit Program assesses all aspects of the SILQ QMS. The audit program is used to gage the level of QMS compliance versus applicable quality, regulatory, and statutory requirements. This assessment was the third audit of the SILQ QMS by Dr. Devine. Please note; this procedure was delayed by 30-days due to DGII's December schedule being impacted by another client's FDA inspection. DGII promises all of clients' immediate support for agency inspections. In accordance with 2.1 of QM.SLQ017.A; "internal audits per this procedure are limited to those elements of the organization subject to the Quality Management System. Qualified external auditors may be utilized to perform part of, or all, functions of this procedure." Dr. Devine is a trained and qualified auditor with 44-years of industry experience.

Note: DGII auditors cannot assess the adequacy of the audits that they perform. However, DGII can attest to the fact that audits are being performed in accordance with ISO 19011 requirements and in compliance with ISO 13485:2016, 21 CFR, Part 820, and applicable quality, regulatory, and statutory requirements. It is the responsibility of the client to ascertain if this audit meets their requirements.

In accordance with 10.5 of QM.SLQ017.A; CAPAs will be opened and assigned to department managers for mitigation of non-conformances identified during the audit. In accordance with 10.2 of QM.SLQ017.A; "*all observations from the audit shall be communicated/discussed to ensure correct interpretation and to allow any open issues to be resolved prior to issuing the final audit report, FM3-QM.SLQ017*."

Examples of tools used in support of the monitoring and measurement of the QMS include:

- Management review;
- Audits (internal & external);
- Complaints;
- Quality objectives; and
- CAPAs.

CAPA will be pursued to mitigate QMS performance issues.

Pathway performs a final inspection premised on requirements delineated within the DMR. The performance of monitoring and measuring occurs throughout product realization. Product conformance with the DMR is maintained through the compilation of the DHR. SILQ is tasked with the formal release of finished device. Distribution and shipment of SILQ devices is performed by Pathway. SILQ products that pass final acceptance inspection are permitted to be released into commercialization.

Non-conforming products are managed in accordance with QM.SLQ040.B – Nonconforming Materials. Nonconforming product is being appropriately quarantined, documented, and released once disposition has been assigned. In accordance with 11.2 of QM.SLQ040.B; "*a copy of the closed NCMR is to be included, or referenced, in the appropriate files and batch records / DHR's as required by each specific disposition*." In support of this assessment, the following NCR's originating from Pathway were reviewed:

- NCR 24-027 – Opened 05-14-24 / Closed 05-15-24 (UAI); and
- NCR-24-004 – Opened 01-09-24 / Closed 07-02-24 (Scrap).

Nonconforming product identified, prior to shipment, will be reworked, if possible. Non-conforming devices (escapes) detected after shipment will be recalled in accordance with QM.SLQ030.A – Advisory Notices and Recalls. Advisory notice issuance is managed in accordance with QM.SLQ030.A – Advisory Notices and Recalls. In accordance with 10.6.4.1 of QM.SLQ040.B; "rework and re-test and/or re-inspection of product, parts, or materials are to be performed in accordance with instructions provided in NCMR or established manufacturing procedures or to an approved and released Temporary Deviation." Reworked products are required to be passed through the inspection process.

The QM.SLQ027.D contains sufficient granularity documenting the data collected from key functional areas and trended to drive continuous improvement. Premised on the data reviewed during the review of the 2 Feb 2024 Management Review, the data being compiled and analyzed is appropriate for the SILQ QMS. Feedback received from customers from the complaint system will be used to drive product improvement(s). Production yield information is used to determine the level of compliance achieved by Pathways. Supplier performance is gaged versus a supplier's ability to meet SILQ requirements. Data collected and analyzed from the customer base is used gage SILQ's ability meet customer requirements. The results of analysis performed on data collected is presented and reviewed as part of management review and retained by QA.

SILQ has revised multiple SOPs since the November 2023 audit, which reflects continuous improvement in support of the QMS. Examples of tools that can be applied to drive continuous improvement of the QMS will be: (a) training; (b) management review; (c) audits (internal & supplier); (d) complaints and customer feedback; and (e) CAPA.

*Note: no corrective actions were pursued in 2024.*The CAPA program is defined within QM.SLQ016.C – Corrective and Preventive Action. Preventive action activities will be identified premised on their ability to prevent nonconformities from occurring. *Note: no preventive actions* *were pursued in 2024.*

CFR, Part 803 Medical Device Reporting

There are two SOPs, implemented in support of reporting adverse events in the United States: (a) QM.SLQ022.A – Medical Device Reporting; and (b) QM.SLQ023.A – eMDR Submission Work Instruction. As scripted, SOPs employed in support of the eMDR process meet requirements delineated within 21 CFR, Part 803. Should an adverse event require the filing of a MDR, the MDR will be filled electronically (eMDR) through the FDA's Gateway in accordance with QM.SLQ023.A. SOPs implemented in support of adverse event reporting address the FDA's regulatory requirements delineated within 21 CFR, Part 803. Note: SILQ did not file a MDR in 2024 (no reportable adverse events noted). SOP QM.SLQ021.D – Product Complaint System has been referenced in QM.SLQ022.A (reference 3.1.1).

21 CFR, Part 806 Medical Devices; Reports of Corrections and Removals

SILQ SOP QM.SLQ030.A – Advisory Notices and Recalls has been implemented in support of corrections and removals. As implemented, QM.SLQ030.A complies with 21 CFR, Part 806 requirements. Note: SILQ did not have to perform a market withdraw in 2024.

Non-Conformance(s) (Finding(s))

There were zero (0) non-conformances (findings) noted as a result of this audit.

Concern(s)

There were zero (0) observations that this auditor has categorized as a concern. A concern is the performance of a practice or an observation that may result in future non-conformances if the practice or observation is not addressed. A concern could be interpreted by another auditor or inspector from a regulatory body as a non-conformance.

Recommendation(s)

There were zero (0) recommendations made as a result of this audit. Please note; DGII does not grant warranty for the potential benefits and/or effectiveness of recommendations. However, similar recommendations have been beneficial to other DGII clients when implemented.

Conclusion

This was the third assessment this auditor has performed for SILQ Technologies, Inc. Bryan Wong (Director of QA) continues to support the SILQ QMS at an extremely high level ensuring sustained compliance with applicable quality, regulatory, and statutory requirements. Additionally, this was SILQs second consecutive internal audit with zero (0) non-conformances noted. This high level of execution and performance continues to be a direct reflection of the professionalism associated with the SILQ Team and their attention to details. In closing, this auditor found the SILQ Technologies, Inc. Quality Management System to be in compliance with the requirements delineated within ISO 13485:2016, and 21 CFR, Parts 803, 806, & 820 on the 16th & 27th days of January 2025. Well Done!

Respectfully Submitted,

___________________________________ Date: 20 January 2025

Christopher J. Devine, Ph.D.
President
Devine Guidance International, Inc.